create policy regarding hoilday

Yes — here is a simple UK holiday policy you can use and adapt for your business. In the UK, almost all workers are legally entitled to 5.6 weeks' paid holiday each year, and bank holidays can be included within that entitlement rather than given on top.[1]

Legal points

Most workers who work 5 days a week must receive at least 28 days' paid annual leave each year, while part-time workers receive the same 5.6 weeks on a pro-rata basis.
Bank holidays do not have to be given as extra paid leave, because an employer can choose to count them within statutory annual leave.[1]
Employers can set a leave year, require holiday to be taken on certain dates, and refuse or cancel holiday requests if they give the correct notice and have a genuine business reason.

Holiday policy draft

Holiday Policy

1. Purpose
   This policy explains how annual leave is earned, requested, approved, and recorded within the business.
2. Scope
   This policy applies to all employees and workers engaged by the company, unless a separate written agreement states otherwise.
3. Leave year
   The company's holiday leave year runs from 1 April to 31 March.
4. Holiday entitlement
   Full-time employees are entitled to 28 days' paid annual leave per holiday year, inclusive of bank holidays.
   Part-time employees receive holiday on a pro-rata basis according to their normal working pattern.
   Where a worker has irregular hours or works part of the year, holiday entitlement will accrue in line with applicable legal rules and hours worked.
5. Accrual of holiday
   Holiday begins to accrue from the first day of employment.
   During the first year of employment, the company may calculate holiday on an accrual basis.

6. Requesting holiday
   Employees must request annual leave in advance through the company's usual approval process.
   As a general rule, employees should give at least twice as much notice as the amount of leave requested, unless their contract or another written agreement states otherwise.
   For example, a request for 5 working days of leave should normally be submitted at least 10 calendar days before the leave starts.
7. Approval of holiday
   Holiday requests are subject to management approval and will be considered fairly, consistently, and with regard to business needs.
   The company may refuse a request where there is a valid business reason, such as insufficient staffing levels or operational requirements, but employees will still be allowed to take their statutory entitlement during the leave year.
8. Company-directed holiday
   The company may require employees to take holiday on specified dates, for example during a Christmas shutdown or other closure period.
   Where this happens, the company will give at least twice as much notice as the amount of leave it requires the employee to take, unless another written agreement applies.
9. Carry-over
   Employees are expected to take their holiday within the relevant leave year.
   Carry-over will only be allowed where required by law or where approved by management in exceptional circumstances.
10. Bank holidays
    Bank holidays are included within the employee's annual leave entitlement unless the contract of employment states that they are provided in addition to annual leave.[1]
11. Leaving employment
    On termination of employment, any accrued but untaken holiday will be paid in the employee's final salary.
    If the employee has taken more holiday than accrued, the company may deduct the excess from final pay where this has been agreed in writing in advance.
12. Unpaid leave
    Requests for unpaid leave are entirely at the company's discretion and will be considered on a case-by-case basis.
13. Abuse of the policy
    Providing false information in support of a holiday request or taking unauthorised leave may be dealt with under the company's disciplinary procedure.
14. Responsibility
    Employees are responsible for submitting holiday requests in good time and checking that leave has been approved before making firm travel commitments.
    Managers are responsible for applying this policy fairly and consistently.

Optional clause

If you want a slightly more generous version, you can replace the entitlement clause with:
"Full-time employees are entitled to 28 days' annual leave plus bank holidays."
That would be a contractual enhancement above the legal minimum, because employers are allowed to offer more leave than the statutory minimum.

Tailoring

Because you run a small UK business, this policy will work best if the holiday request method is very clear, such as email approval, a shared calendar, or a simple form.
It should also match the wording in any employment contract, especially on whether bank holidays are included or additional.[2]

Do you want this rewritten as a formal company document for Happy Life Limited with title, approval date, version number, and signature section?

⁂

1. https://www.gov.uk/holiday-entitlement-rights
2. https://sprintlaw.co.uk/articles/are-uk-bank-holidays-included-in-annual-leave/
3. https://www.cxcglobal.com/global-hiring-guide/united-kingdom/leave-time-off-in-united-kingdom/
4. https://sprintlaw.co.uk/articles/are-bank-holidays-mandatory-in-the-uk-employer-rules-on-time-off-and-pay/
5. https://www.adam-aspire.co.uk/wp-content/uploads/2011/02/acas-guide-holidays-and-holiday-pay-2015.pdf
6. https://www.cipd.org/uk/knowledge/employment-law/holidays/
7. https://www.gov.uk/government/publications/simplifying-holiday-entitlement-and-holiday-pay-calculations/holiday-pay-and-entitlement-reforms-from-1-january-2024
8. https://www.rcn.org.uk/Get-Help/RCN-advice/annual-leave-and-holiday-pay
9. https://www.acas.org.uk/checking-holiday-entitlement/asking-for-and-taking-holiday
10. https://www.acas.org.uk/checking-holiday-entitlement
11. https://www.farrer.co.uk/globalassets/news-articles/downloads/acas-guide-holidays-and-holiday-pay.pdf
12. https://cpcagrowthhub.co.uk/holidays-and-holiday-pay-the-latest/
13. https://payfit.com/blog/annual-leave/
14. https://grove.hr/blog/bank-holidays-annual-leave-uk
15. https://www.personneltoday.com/hr/acas-guide-to-holidays-and-holiday-pay/